

INCOME STATEMENT (in thousands USD)

	FY2024	FY2025
Revenue	120,000	138,000
Cost of Goods Sold	54,000	72,000
Gross Profit	66,000	66,000
Gross Margin	55.0%	47.8%
Operating Expenses	38,000	41,000
Operating Income	28,000	25,000
Net Income	21,500	18,900

MANAGEMENT DISCUSSION AND ANALYSIS

Revenue grew 15% year-over-year, driven primarily by expansion into three new metropolitan markets and a 9% increase in average membership pricing. However, gross margin declined from 55.0% to 47.8% despite the revenue growth. Management attributes this primarily to higher equipment procurement costs following a supplier contract renegotiation in Q2 FY2025, and to elevated energy costs at newly opened locations that have not yet reached target utilization. Operating expenses grew more slowly than revenue (8% vs. 15%), reflecting cost discipline in corporate overhead, but this was not enough to offset the gross margin compression, resulting in a decline in both operating income and net income year-over-year despite higher revenue.

No new equity or debt financing was issued during FY2025. The company's new markets are expected to reach target membership utilization by mid-FY2026 according to internal projections, though these projections have not yet been independently validated.